

Global Strategy: Class #5

International Strategies and Entry Modes

Walmart in China

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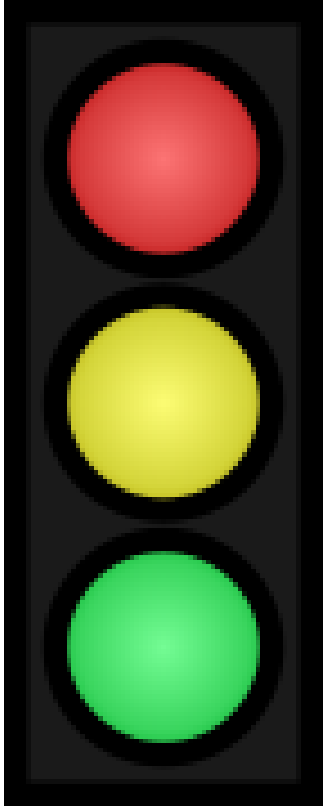
Last Class

- Where should we go? **AAA Framework.**
 - Advantages on *Arbitrage*, *Aggregation*, and *Adaptation* might help firms to have lower relative costs, gain economies of scale, and increase local relevance, respectively
 - AAA approach should be followed closely by managers given the risks it might impose to the firm
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure depending on the asset specificity is key

TODAY

- Where should we go? **AAA Framework.**
- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Entry modes and local competition

What We Are Trying to Solve in the Global Module

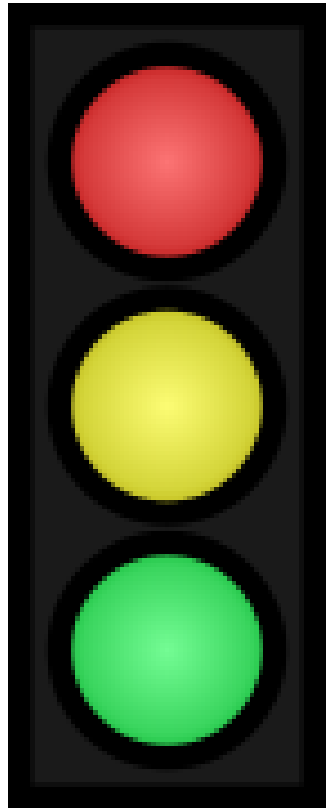


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart in China
- Tata Group
- Natura

**What is the main “A” aspect
Walmart is implementing in
their international
expansion?
Initially and currently?**

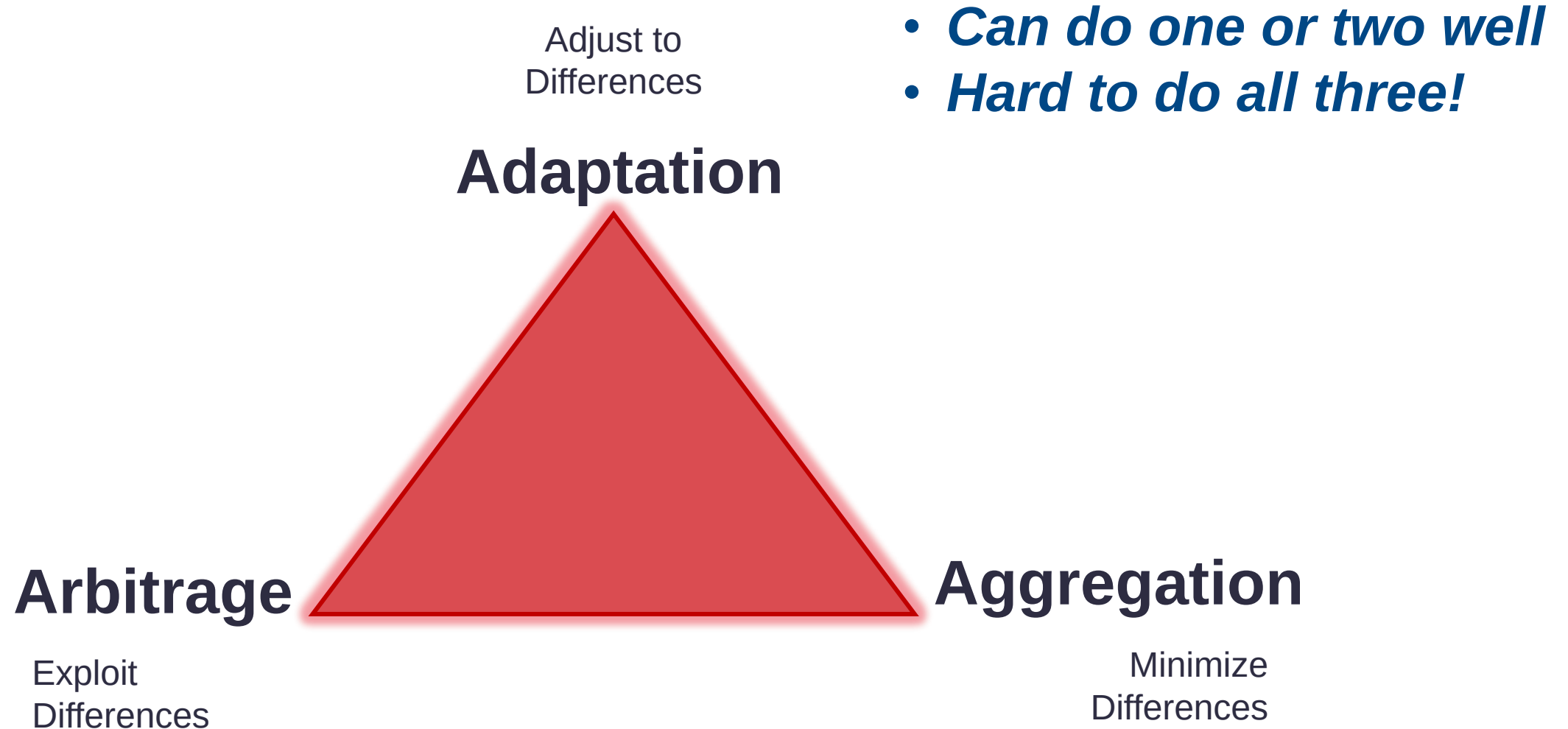
Hunt, Watts, & Bryant (2018)

“Walmart’s international expansion:
successes and miscalculation,”

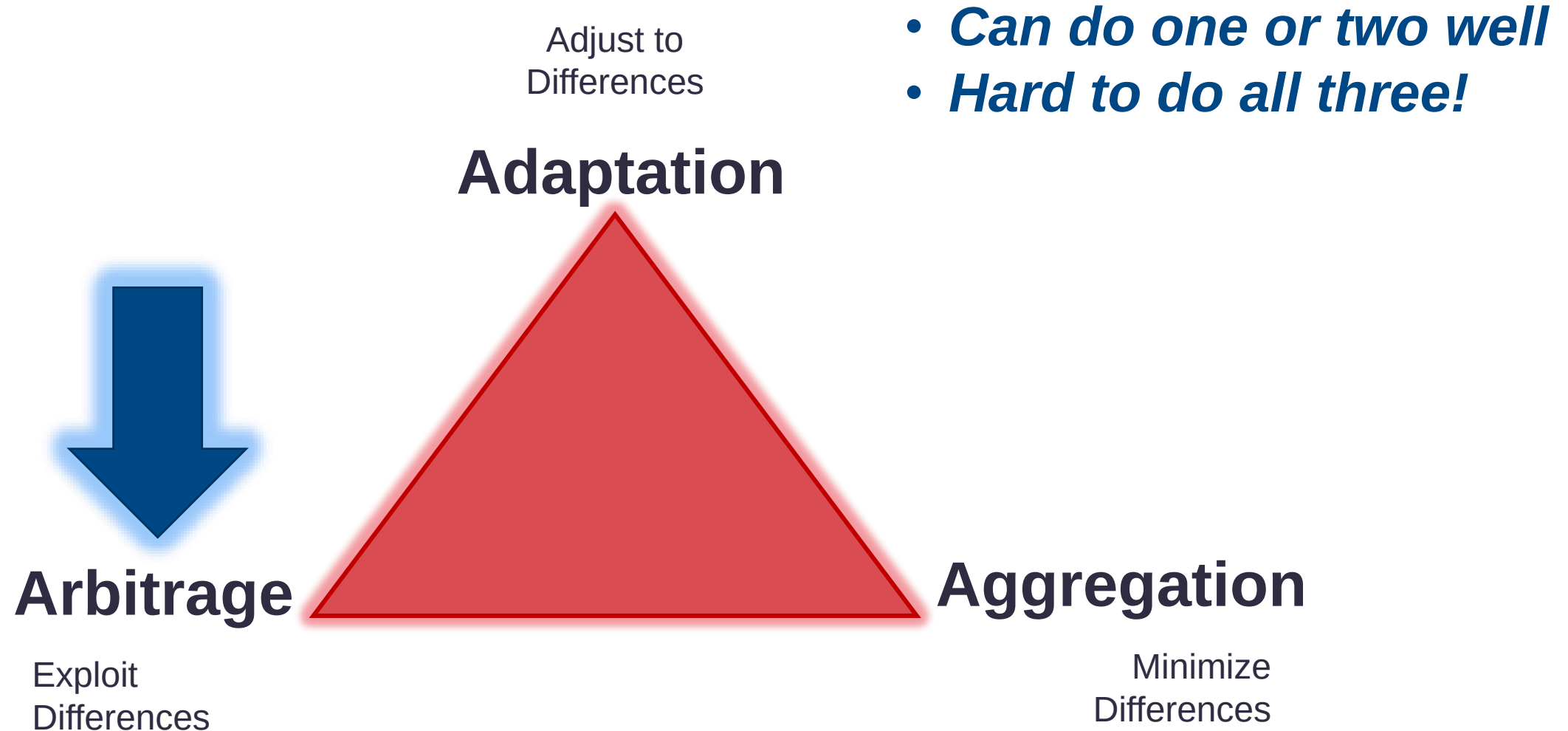
Journal of Business Strategy 39(2):
22-29.



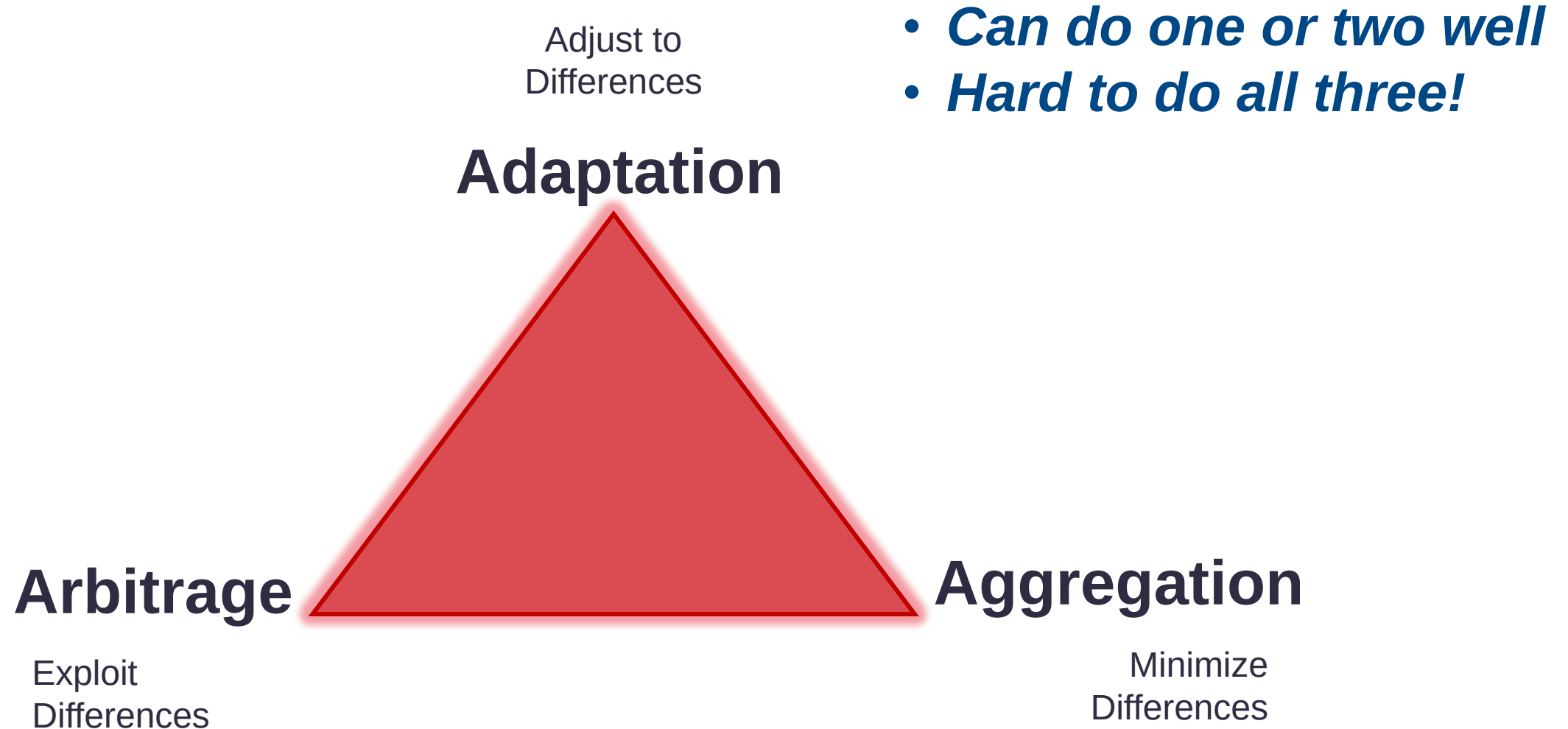
Initially, Walmart expansion in China was focused on A...



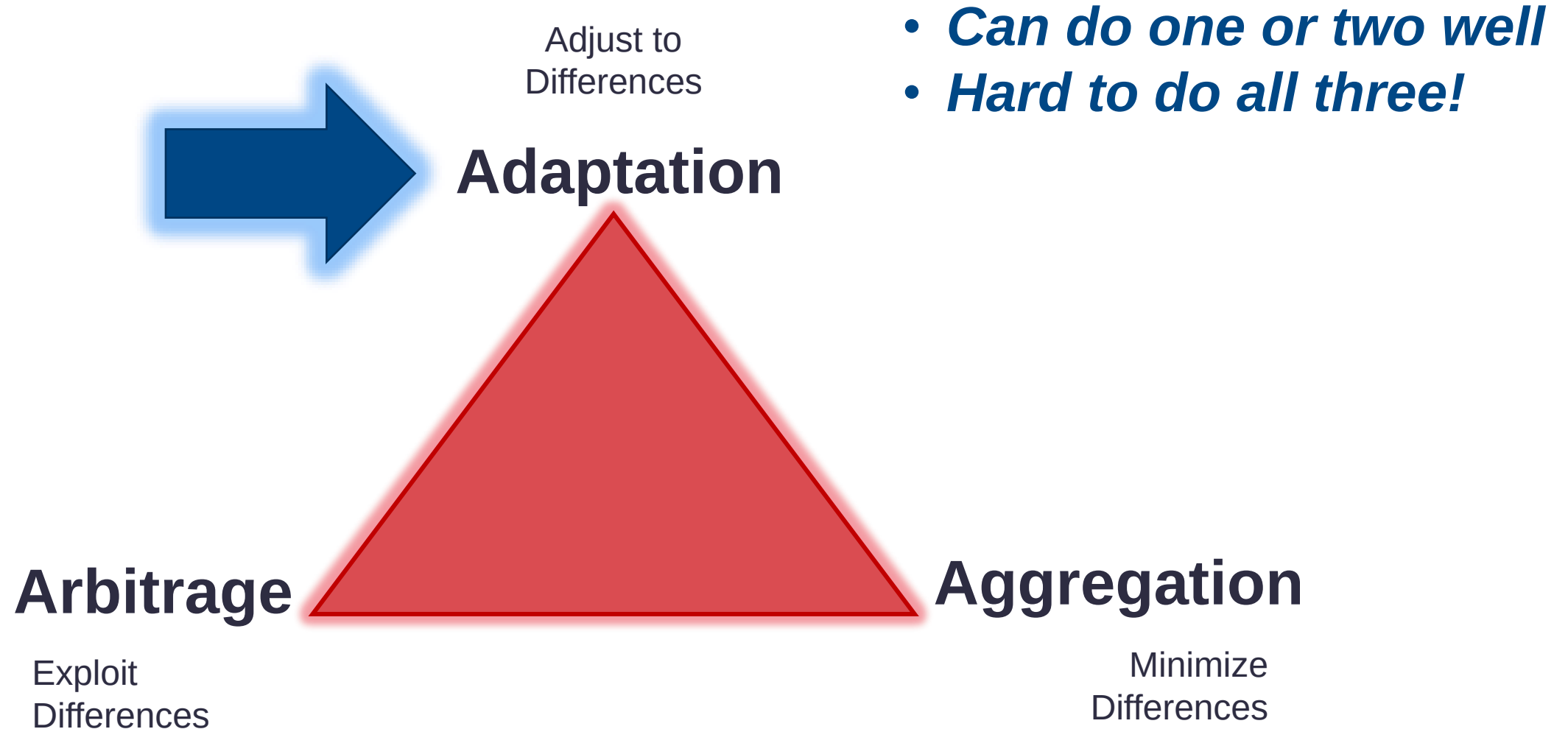
Initially, Walmart expansion in China was focused on Arbitrage!



Now, their focus has switched towards A...



Now, their focus has switched towards Adaptation



Walmart International Adaptation Strategy

Retail Gets Real. Episode 001.
*“How Walmart does business in
China.”* May 22nd, 2017.

Interview with *Maggie Sans*, former
senior vice president and chief
corporate affairs officer for Walmart
in China.

Adaptation:
From 15’55” to 17’20”



Walmart International Expansion: CAGE Framework

Canada (1994):

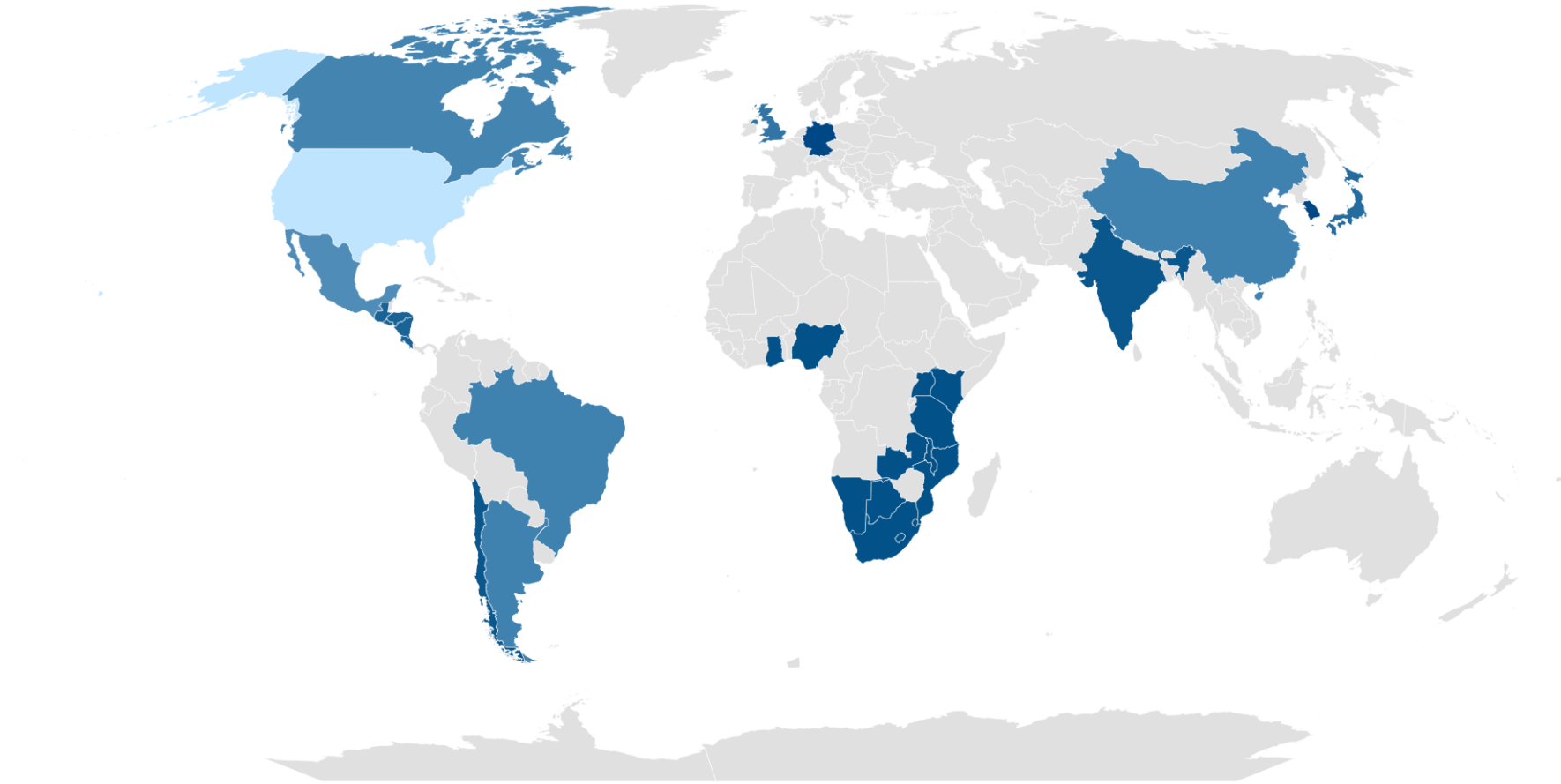
China (1995):

Brazil (1995):

Germany (1997):

South Korea (1998):

Japan (2002):



Year of Entry
1962 2011

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Walmart International Expansion: CAGE Framework

Canada (1994): Success. Cultural: close cultural proximity. Administrative/Political: NAFTA.

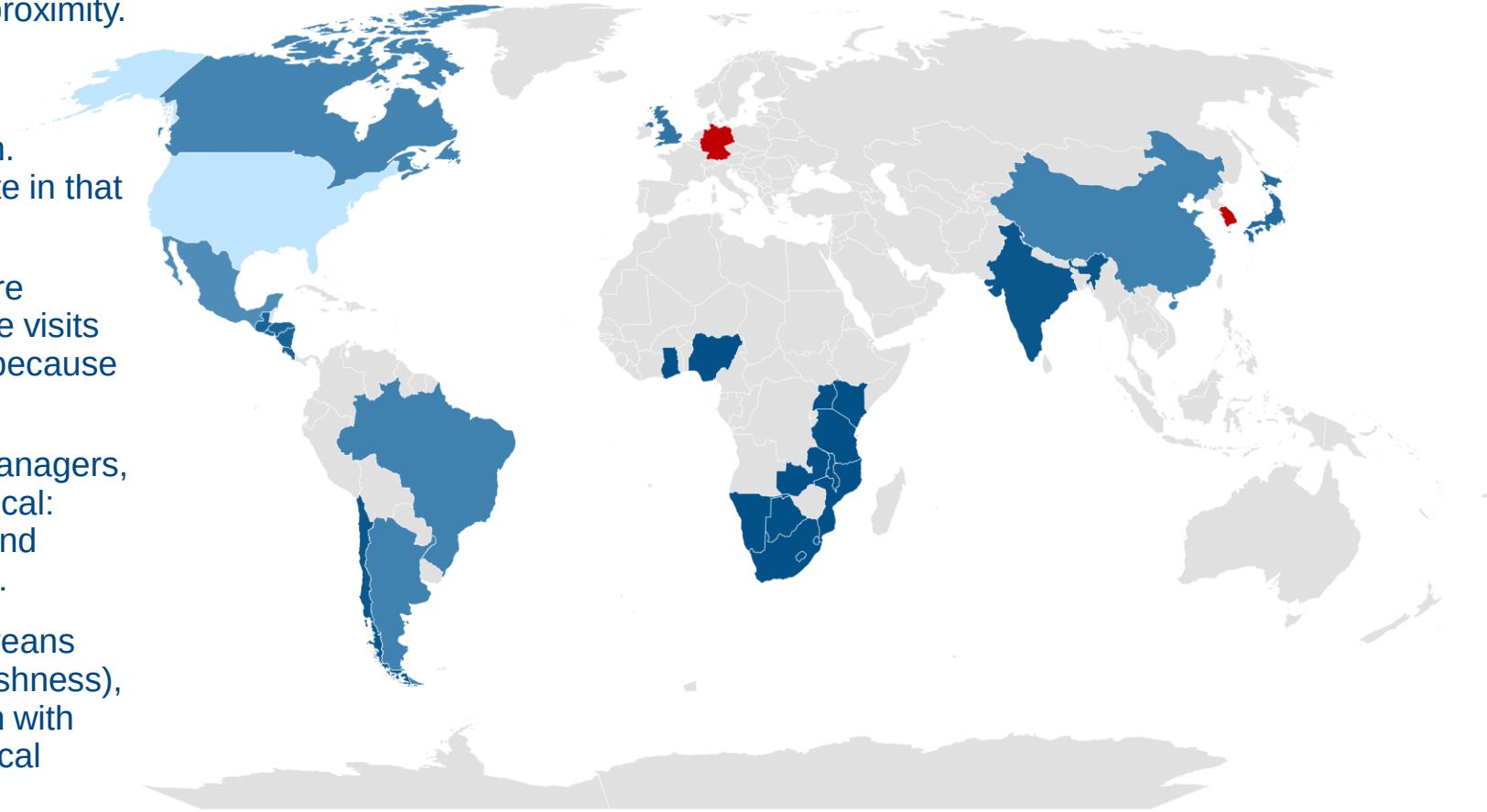
China (1995): Struggle. Culture: Some degree of adaptability to local culture. Economic: Slow growth. Acquisition of existent capabilities on how to operate in that market.

Brazil (1995): Struggle. Cultural: struggle with more bargaining and limited income of Brazilians. Multiple visits habits, not supercenter. *Dallas Cowboys* products because of Brazilian passion for football. [Video](#) up to 4'44".

Germany (1997): Failure. Culture: non-German managers, problems with staff and clients. Administrative/Political: problems (working hours, anti-competitive prices, and unions). Economic: higher costs. [Video](#) up to 4'50".

South Korea (1998): Failure. Cultural miss-fit (Koreans shop in inner city). Economic value proposition (freshness), non-Korean management. Entry mode, comparison with successful British chain (Tesco) who started with local partner (Samsung).

Japan (2002): Struggle. Cultural: language and habits challenges. Administrative/Political complexity. Economic: high sophisticated demands conflict with "low price, low quality." [Video](#) up to 3'00".



Year of Entry
1962 2011

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What is Walmart main entry mode? And, why?

Hunt, Watts, & Bryant (2018)

“Walmart’s international expansion: successes and miscalculation,”
Journal of Business Strategy 39(2):
22-29.



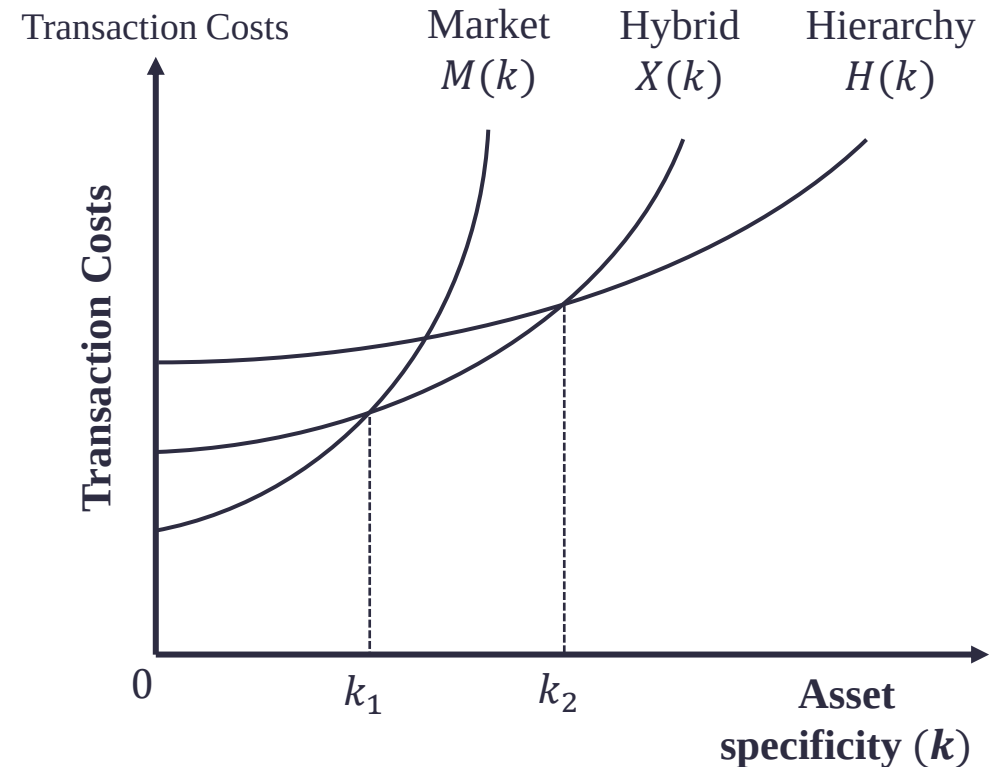
Transaction Cost Economics Framework

Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, licensing, franchising, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

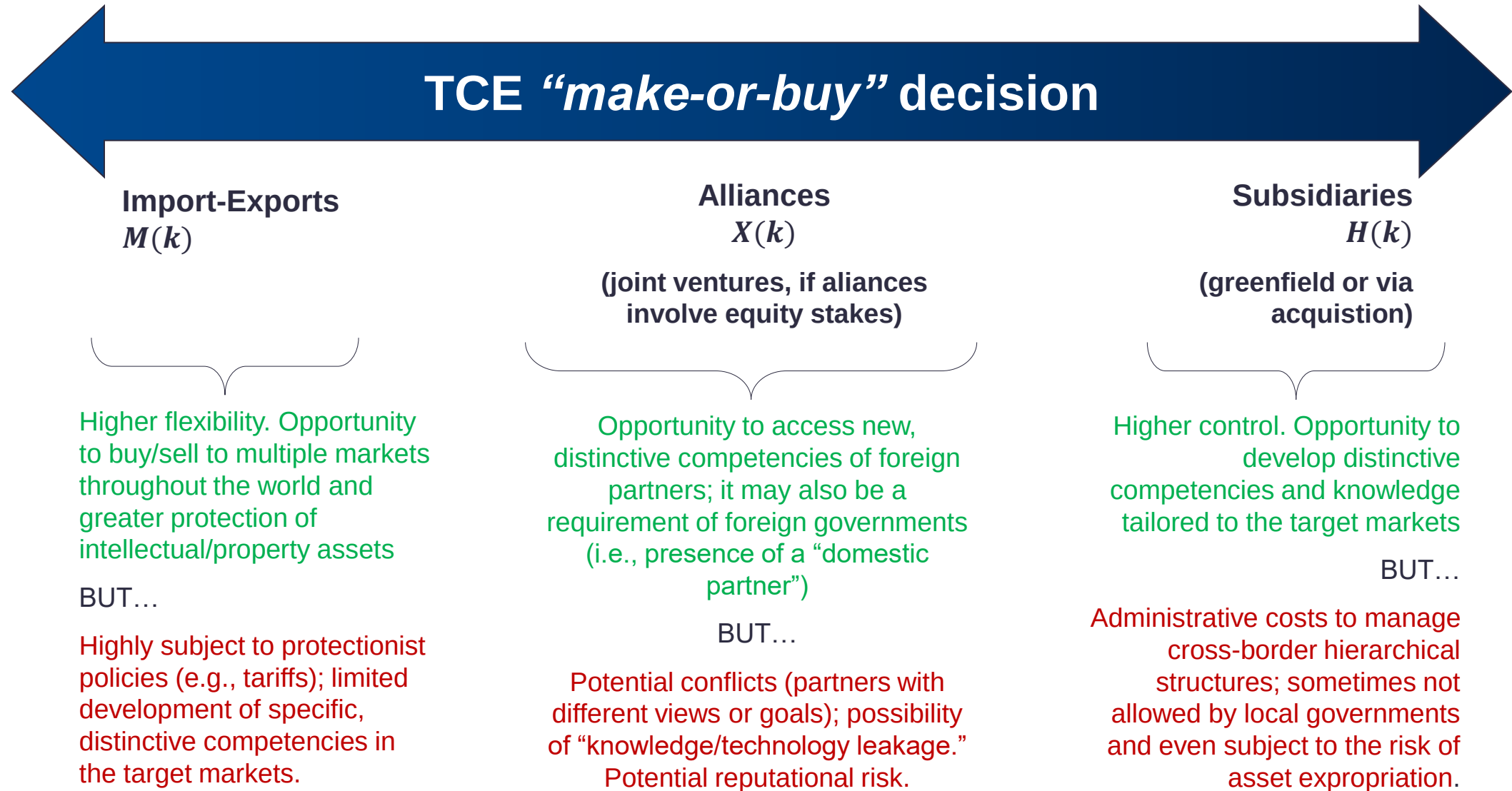
Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991).

**Helpful analyzing transaction risk,
But how about country risk? (Next class)**

Entry Mode Decision: Pros and Cons



What is Walmart main entry mode? And, why?

Retail Gets Real. Episode 001.
“How Walmart does business in China.” May 22nd, 2017.

Interview with *Maggie Sans*, former senior vice president and chief corporate affairs officer for Walmart in China.

Entry Mode: Acquisition
[From 12'40" to 13'56"](#)



Can Walmart win the “new retail” model required in China (and beyond)?

Walmart in China.

Ali Farhoomand and Filip Ziolk.

“Walmart in China: Challenging Alibaba’s New Retail.”

Asia Case Research Centre,
University of Hong Kong Case
19/643C





[Video Link](#)

Can Walmart win the “new retail” model required in China (and beyond)?

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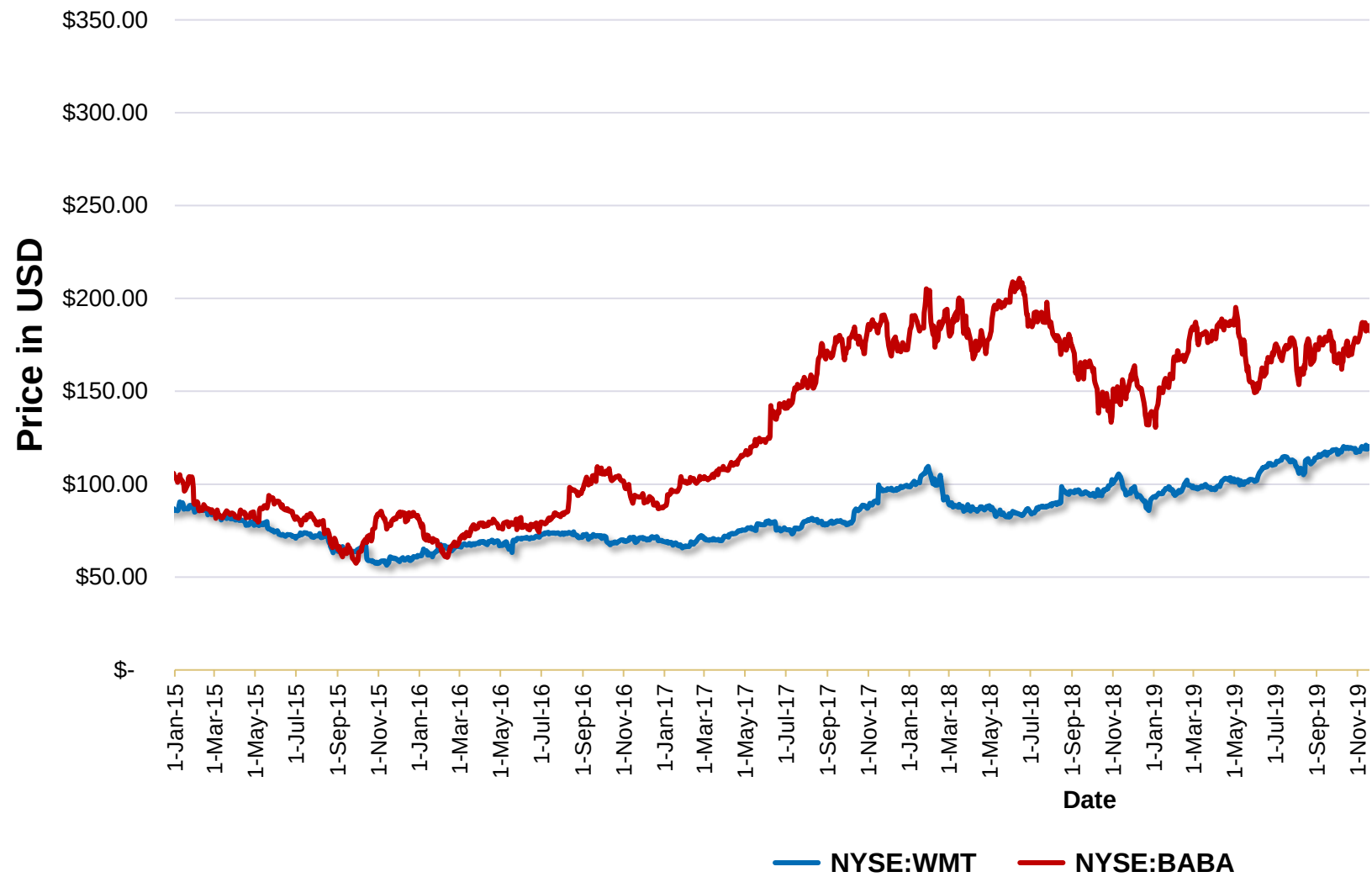
Asia Case Research Centre,
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Can Walmart win the “new retail” model required in China (and beyond)?

- **Alibaba** dominance?

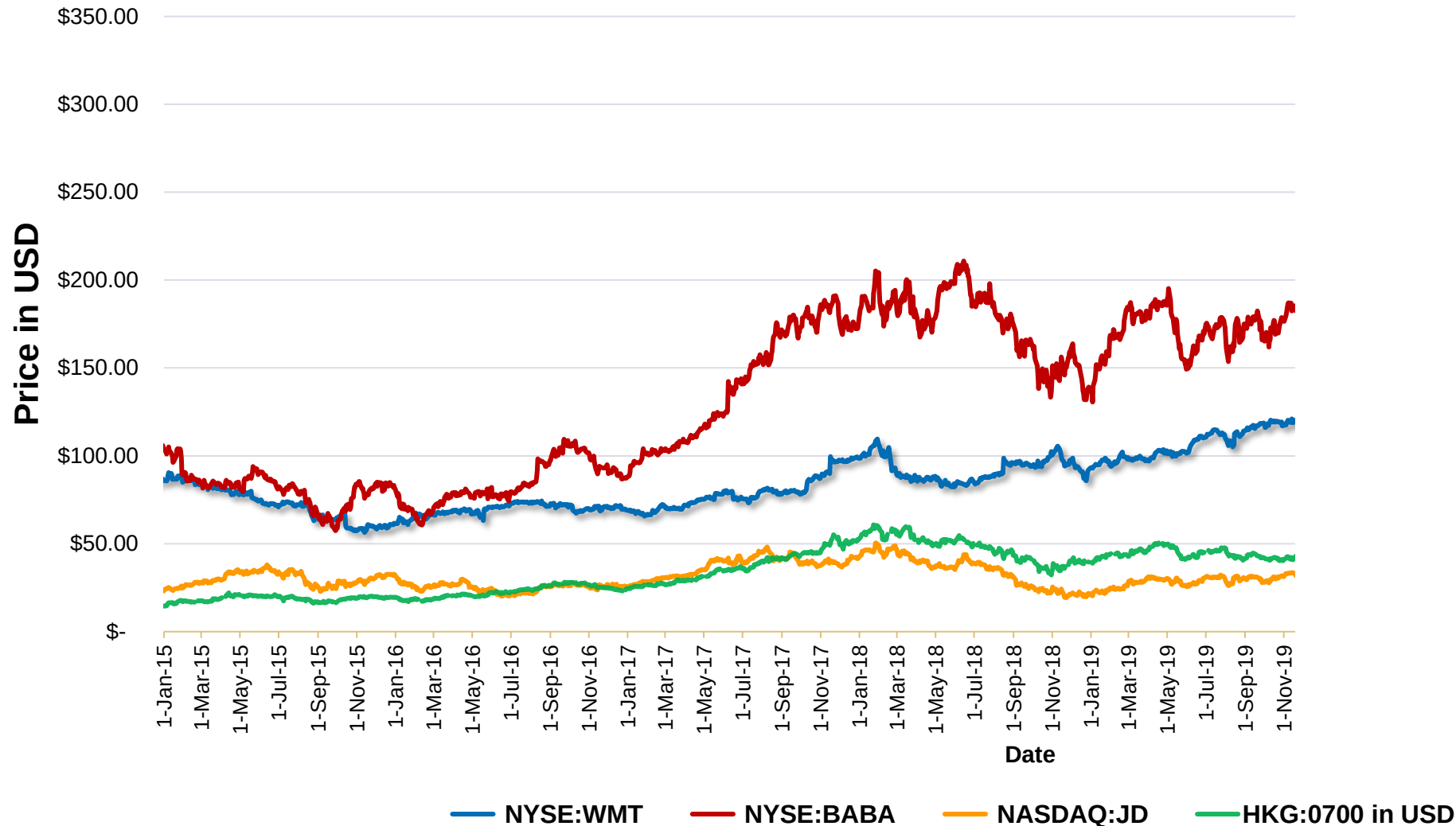
Stocks Daily Price, Adusted to USD



Can Walmart win the “new retail” model required in China (and beyond)?

- **Alibaba** dominance?
- **Walmart**, **JD**, and **Tencent** pool their customer data.

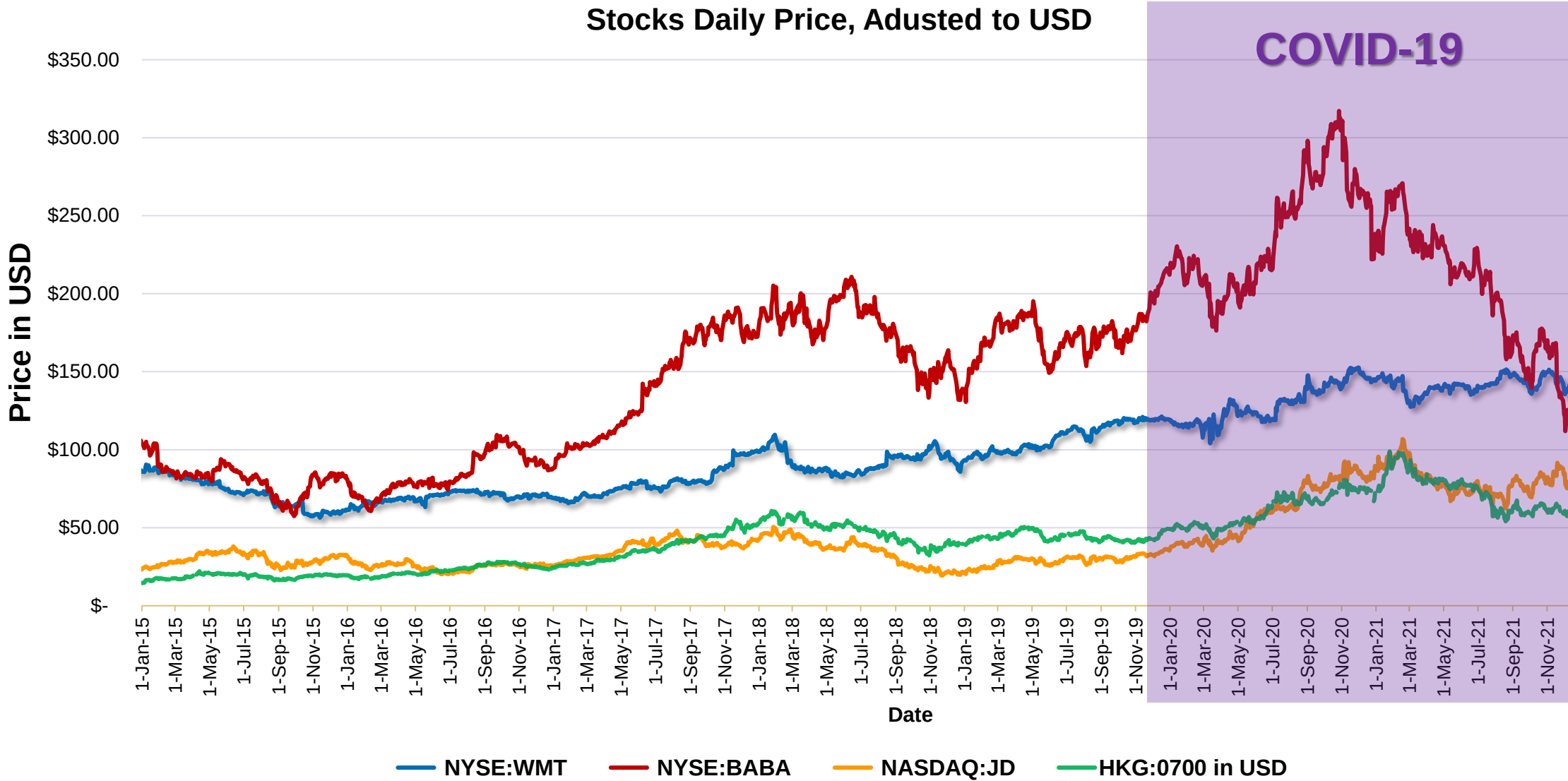
Stocks Daily Price, Adjusted to USD



Can Walmart win the “new retail” model required in China (and beyond)?

- COVID-19 shock?

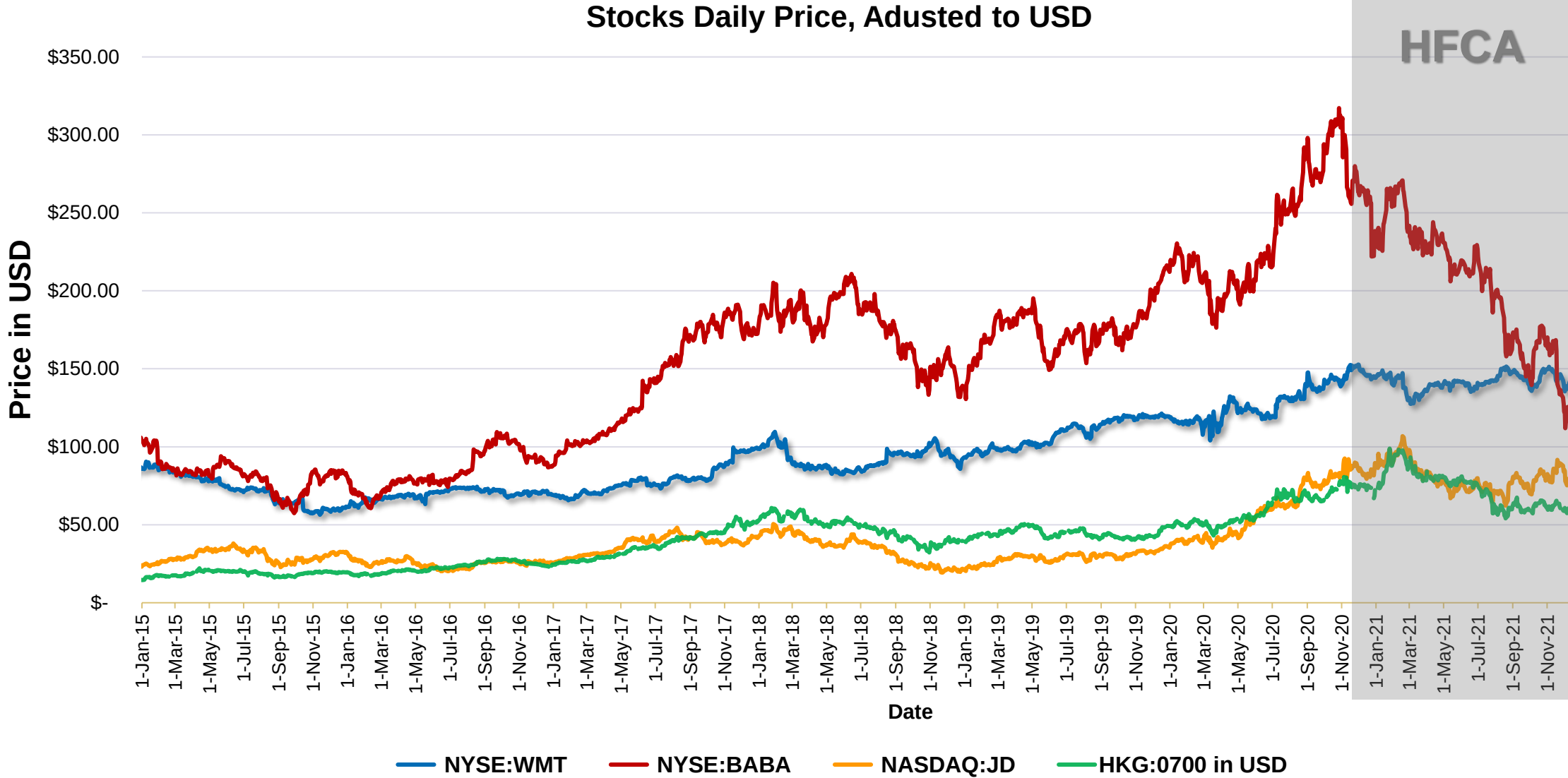
Stocks Daily Price, Adusted to USD



Can Walmart win the “new retail” model required in China (and beyond)?

- Holding Foreign Companies Accountable Act. December 18th, 2020.

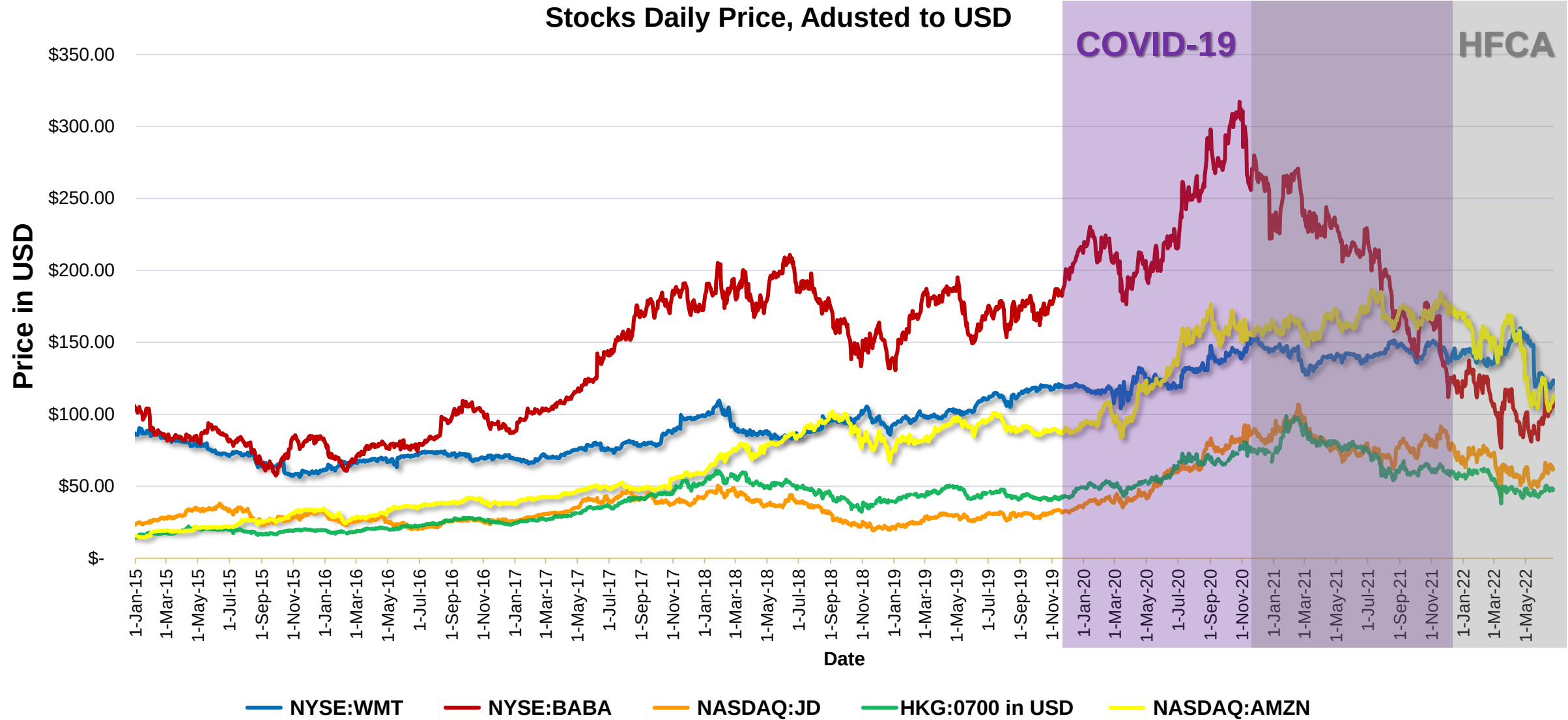
Stocks Daily Price, Adusted to USD



Can Walmart win the “new retail” model required in China (and beyond)?

- How about Amazon? [Video](#)

Stocks Daily Price, Adusted to USD



In Sum: Walmart International Expansion

- **Countries:** the sequence was **rather haphazard**: Mexico, Puerto Rico, Canada, Brazil, Argentina, China, Germany, South Korea, U.K., Japan, and Central America.
- **Products:** initially pursued **a one-size fits all approach** (US model exported).
- **Entry Mode:** mainly acquisitions, some joint ventures, **contingent logic** applied to distinguish easy and difficult (more or less risky) places.

“Speculation on where Walmart will appear next in the global marketplace seems to be a sport for some observers”

-- Credit Suisse, 2006

What should Walmart do next?



Key Takeaways

- Where should we go? **AAA Framework.**
 - Combining “As” is challenging. Walmart started with “Arbitrage,” but faced difficulties in “Adaptation” of its business model in other countries.
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Incremental international expansions can minimize risks and allow a company to learn from prior experiences.
 - Transaction risks (contractual hazards) should be considered in the decision of which entry mode (governance structure) to use.
 - What about the country risks?

Next Class

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country Political Risk, Institutional Voids, and Business Groups

Looking Ahead: Entry Modes

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Tarun Khanna, Sinha K. Palepu (2005) "Strategies that Fit Emerging Markets," Harvard Business Review.
 - Tarun Khanna, Sinha K. Palepu (2006) "Emerging giants," Harvard Business Review.
 - Tata Group: Tarun Khanna, Sinha K. Palepu, Richard J. Bullock. "House of Tata: acquiring a global footprint," HBS Case, 2008. (*)
 - Optional Reading. Witold Henisz and Bennet Zelner. (2010). "The Hidden Risks in Emerging Markets," Harvard Business Review.

QUESTIONS

- *What are Institutional Voids?*
- *Why are business groups critical for overcoming institutional voids in emerging markets?*
- *How would you rate Tata's decision to acquire Land Rover and Jaguar? Why?*



Thank you.

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